Swati Chugh — Index Fund vs. IUL: Simple Comparison

$100k/yr for 10 years only • $150k/yr withdrawals from Age 64 • No tax assumptions

ASSUMPTIONS

	Index Fund (S&P; 500 ETF)	Lincoln WealthBuilder IUL
Your cash outlay	$100,000/yr for Years 1–10 only Total invested: $1,000,000. Then STOPS.	$0 — lender funds all premiums You never write a check.
Growth rate	9%/yr gross (S&P; 500 long-run avg) No taxes modelled	7.19%/yr credited (non-guaranteed) Per Lincoln Financial illustration
Withdrawals	$150,000/yr gross starting Year 21 (age 64)	$150,000/yr as tax-free policy loans from Year 21

ACCUMULATION PHASE — YEARS 1 TO 20 (before any withdrawals)

Year	Age	Your Annual Contrib	Index Fund Balance (gross)	IUL Net Cash Value	IUL Death Benefit
1	44	**+$100k**	**$109,000**	—	$5,750,000
5	48	**+$100k**	**$652,333**	—	$6,381,029
10	53	**+$100k**	**$1,656,029**	$3,326,633	$8,326,633
15	58	$0	**$2,548,006**	$4,680,134	$8,326,633
20	63	$0	**$3,920,424**	$1,348,332	$3,088,987

Note: IUL cash value at Year 20 is $1,348,332 NET after repaying the $5.24M financing loan from the policy's own value. Gross policy value before repayment was $6,151,469.

WITHDRAWAL PHASE — $150K/YR STARTING YEAR 21 (key milestones)

Year	Age	Cumulative $150k Rcvd	Index Fund Balance	IUL Cash Value (Net)	IUL Death Benefit
21	64	$150,000	**$4,123,262**	**$1,322,504**	$3,015,057
25	68	$750,000	**$5,134,351**	**$1,288,841**	$2,958,027
30	73	$1,500,000	**$7,002,129**	**$1,479,690**	$2,915,634
35	78	$2,250,000	**$9,875,937**	**$2,126,170**	$3,045,790
37	**80 ←AGE 80**	$2,550,000	**$11,420,101**	**$2,564,940**	$3,619,392
40	83	$3,000,000	**$14,297,647**	**$3,473,105**	$4,766,676
43	86	$3,450,000	**$18,024,152**	**$4,739,521**	$6,323,876
50	93	$4,500,000	**$31,568,790**	**$11,069,442**	$12,577,529

INDEX FUND @ AGE 80	IUL @ AGE 80
$11,420,101	**$2,564,940**
Remaining balance (gross, no tax assumed) After $150k/yr for 17 years You invested $1,000,000 (years 1–10 only)	Cash value + Death benefit to heirs: $3,619,392 (tax-free) You invested $0 — lender paid everything

THE BOTTOM LINE: Putting $100k/yr for 10 years into an S&P; 500 index fund at 9%/yr and withdrawing $150k/yr from age 64 leaves you with ~$11.4M at age 80 — the fund grows faster than you draw. The IUL leaves ~$2.6M cash value at age 80 (plus $3.6M death benefit tax-free to heirs) while costing you $0. Trade-off: index fund builds more liquid wealth if you can invest $1M of your own money; IUL wins on zero cash outlay, tax-free income, and a guaranteed death benefit.

Index fund projections are hypothetical using 9% gross annual return with no tax or fee assumptions. IUL values sourced from Lincoln Financial illustration dated March 10, 2026 at a 7.19% non-guaranteed credited rate. Actual results will vary. Not investment or tax advice.